Contact: Lynda Kuhn
SVP Communications
416-926-2026
www.canadabread.ca

Canada Bread Reports Results for Third Quarter 2010

Toronto, Ontario – October 28, 2010… Canada Bread Company, Limited (TSX: CBY) today reported its financial results for the third quarter ended September 30, 2010. Third quarter highlights include:

- Adjusted Operating Earnings of $32.4 million compared to $36.9 million last year
- Adjusted EPS of $0.85 compared to $1.00 last year
- Net earnings of $14.0 million compared to $25.1 million last year
- Basic EPS of $0.55 compared to $0.99 last year

Note: Adjusted Operating Earnings are defined as earnings from operations before restructuring and other related costs and other income (expense). Adjusted Earnings per Share ("Adjusted EPS") are defined as basic earnings per share adjusted for the impact of restructuring and other related costs, net of tax. Refer to the section entitled Reconciliation of Non-GAAP Financial Measures at the end of this news release.

"Our fresh bakery business benefited from price increases implemented earlier in the year, although rising wheat prices may require further pricing action," said Richard Lan, President and CEO. "While our frozen bakery business was impacted by continued weaker markets, initiatives are underway to increase volumes and reduce costs. We are also investing in promotions to support exciting new product innovation under the Dempster's® brand, that will support our continued leadership and growth in the higher nutrition bakery segment."

Financial Overview

Sales for the third quarter declined 3% to $411.4 million from $424.6 million in the prior year, mostly due to lower sales volumes and currency translation impacts of a stronger Canadian dollar on sales denominated in U.S. dollars and British pounds. Excluding currency impacts, sales declined by 1%.

Adjusted Operating Earnings in the quarter were $32.4 million, a decrease from a strong comparative quarter of $36.9 million last year. Earnings were affected by lower sales volumes and increased marketing and promotional activities in the Fresh Bakery business to support new product launches.

Net earnings in the third quarter declined to $14.0 million or $0.55 per share compared to $25.1 million or $0.99 per share last year as a result of lower Adjusted Operating Earnings and higher restructuring costs. Restructuring charges in the third quarter mostly related to severance obligations related to the future closure of three bakeries in Ontario, pending the completion of a new large scale bakery facility that is expected to be commissioned in mid-2011.

Business Segment Review

Following is a summary of sales by business segment:

($ thousands)	Third Quarter		Year-to-Date	
	2010	2009	**2010**	2009
Fresh Bakery	**$285,232**	$287,285	**$824,951**	$840,546
Frozen Bakery	**126,132**	137,270	**370,407**	433,052
Sales	**$411,364**	$424,555	**$1,195,358**	$1,273,598

Following is a summary of Adjusted Operating Earnings by business segment:

($ thousands)	Third Quarter		Year-to-Date	
	2010	2009	**2010**	2009
Fresh Bakery	**$30,397**	$33,260	**$78,603**	$71,457
Frozen Bakery	**2,032**	3,655	**4,537**	19,949
Adjusted Operating Earnings	**$32,429**	$36,915	**$83,140**	$91,406

Fresh Bakery

Includes fresh bakery products, including breads, rolls, bagels, sweet goods, prepared sandwiches, and fresh pasta and sauces sold to retail, foodservice and convenience channels. It includes national brands such as Dempster's® and Olivieri® and many leading regional brands.

Third quarter sales of $285.2 million were slightly lower than sales of $287.3 million in the same period last year mostly due to lower volumes in the sandwich and fresh bakery businesses.

Adjusted Operating Earnings in the quarter decreased to $30.4 million from $33.3 million in the same period last year, mostly due to lower volumes and additional advertising and promotional spending to support new product innovation. During the

quarter, brand investment included marketing and promotional expenses to support Dempster's Smart® 16, a line extension of Dempster's Smart®, which includes 16 whole grains and reduced sodium; the launch of Dempster's® rye bread in Ontario in the fourth quarter of 2010; and extensions in Dempster's Oven Fresh® line. In the fourth quarter, the fresh bakery business launched a significant promotional bread campaign with hockey superstar Sidney Crosby as the brand ambassador of Dempster's® to promote the benefits of breads, healthy eating and good nutrition.

Partly offsetting lower volumes and increased marketing and promotional costs were improved margin rates due to better net pricing and the impact of a stronger Canadian dollar, that was partly offset by inflationary cost impacts.

The construction of a new large scale fresh bakery facility in Hamilton, Ontario is proceeding on plan. Commissioning of this 375,000 square foot facility is scheduled to commence in mid 2011,allowing for the consolidation of production from three Ontario bakeries. The Company expects to incur restructuring costs totaling approximately $25 million, which includes $5 million in non-cash items.

Frozen Bakery

Includes frozen bakery products, including frozen par-baked bakery products, specialty and artisan breads, and bagels sold to retail, foodservice and convenience channels in North America and the U.K. It includes national brands such as Tenderflake® and New York Bakery Co®.

Sales declined 8% to $126.1 million from $137.3 million last year, due in part to currency translation . Excluding currency impacts, sales declined by 2%.

Adjusted Operating Earnings in the quarter declined to $2.0 million compared to $3.7 million last year. While volumes in the North American frozen business were largely consistent with last year, earnings declined mostly due to increased factory overhead costs. Earnings in the U.K. operations were consistent with last year. Management continues to focus on increasing volumes in the North American frozen business. Cost improvements underway in the U.K. include the transfer of a production line to an existing low-cost scale facility in Maidstone, England in the second quarter that consolidates the majority of croissant production into one site and reduces total network costs.

Other Matters

On October 27, 2010, Canada Bread Company, Limited declared a dividend of $0.06 per share payable on January 4, 2011 to shareholders of record at the close of business on December 6, 2010. Unless indicated otherwise by the Company in writing at or before the time the dividend is paid, this dividend will be considered an eligible dividend for the purposes of the “Enhanced Dividend Tax Credit System”.

Forward-Looking Statements

This document contains, and the Company's oral and written public communications often contain, forward-looking statements that are based on current expectations, estimates, forecasts and projections about the industries in which the Company operates and beliefs and assumptions made by the Management of the Company. Such statements include, but are not limited to, statements with respect to objectives and goals, as well as statements with respect to beliefs, plans, expectations, anticipations, estimates and intentions. Words such as "expect," "anticipate," "intend," "attempt," "may," "will," "plan," "believe," "seek," "estimate," and variations of such words and similar expressions are intended to identify such forward-looking statements. These statements are not guarantees of future performance and involve assumptions and risks and uncertainties that are difficult to predict.

In particular, these forward-looking statements are based on expectations concerning performance of the Company's business in general, and are based on a number of factors and assumptions including, but not limited to: the condition of the Canadian, United States and United Kingdom economies; the rate of exchange of the Canadian dollar to the U.S. dollar and the British pound; initiatives to restore sales volumes in the North American and U.K. frozen bakery businesses; initiatives to reduce its cost base in the U.K.; the availability and prices of raw materials, energy and supplies; product pricing; the availability of insurance; the competitive environment and related market conditions; improvement of operating efficiencies; continued access to capital; the cost of compliance with environmental and health standards; no adverse results from ongoing litigation; no unexpected actions of domestic and foreign governments and the general assumption that none of the risks identified under the "Risk Factors" in the Company's Annual Management's Discussion and Analysis for the year ended December 31, 2009 will materialize. All of these assumptions have been derived from information currently available to the Company including information obtained by the Company from third-party sources. These assumptions may prove to be incorrect in whole or in part. In addition, actual results may differ materially from those expressed, implied or forecasted in such forward-looking statements, which reflect the Company's expectations only as of the date hereof.

Factors that could cause actual results or outcomes to differ materially from the results expressed or implied by forward-looking statements are discussed more fully under the heading "Risk Factors" in the Company's Annual Management's Discussion and Analysis for the year ended December 31, 2009 including the section entitled "Risk Factors" that is available on SEDAR at www.sedar.com. The Company does not intend to, and the Company disclaims any obligation to, update any forward-looking statements, whether written or oral, or whether as a result of new information, future events or otherwise except as required by law.

Canada Bread Company, Limited, which is 90.0% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2009 sales of $1.7 billion and employs approximately 8,000 people at its operations across North America and in the United Kingdom.

Reconciliation of Non-GAAP Financial Measures

The following non-GAAP measures are referred to in this news release: Adjusted Operating Earnings and Adjusted EPS. Management believes that these non-GAAP measures provide useful information to both Management and investors in measuring the financial performance of the Company for the reasons outlined below. These measures do not have a standardized meaning prescribed by Canadian GAAP and therefore they may not be comparable to similarly titled measures presented by other publicly traded companies and should not be construed as an alternative to other financial measures determined in accordance with Canadian GAAP.

Adjusted Operating Earnings

The following table reconciles earnings from operations before restructuring and other related costs and other income (expense) to net earnings as reported under Canadian GAAP in the unaudited interim period consolidated statements of earnings for the three- and nine-month periods ended as indicated below. Management believes that this is the most appropriate basis on which to evaluate operating results as restructuring and other related costs and other income (expense) are not representative of operational results.

	Three months ended September 30,					
($ thousands)	2010			2009		
	Fresh Bakery	Frozen Bakery	Consolidated	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$13,980**			**$25,050**
Income taxes			**7,055**			**10,482**
Earnings from operations before income taxes			**21,035**			**35,532**
Interest expense			**949**			**673**
Earnings from operations before income taxes and interest expense			**21,984**			**36,205**
Restructuring and other related costs	10,229	283	**10,512**	0	597	**597**
Other income	(67)	0	**(67)**	113	0	**113**
Adjusted Operating Earnings	**$30,397**	**$2,032**	**$32,429**	**$33,260**	**$3,655**	**$36,915**

	Nine months ended September 30,					
($ thousands)	2010			2009		
	Fresh Bakery	Frozen Bakery	Consolidated	Fresh Bakery	Frozen Bakery	Consolidated
Net earnings			**$47,394**			**$62,469**
Income taxes			**20,082**			**26,115**
Earnings from operations before income taxes			**67,476**			**88,584**
Interest expense			**2,837**			**3,980**
Earnings from operations before income taxes and interest expense	**67,340**	**2,973**	**70,313**	**71,419**	**21,145**	**92,564**
Restructuring and other related costs	11,457	1,564	**13,021**	(81)	1,352	**1,271**
Other income	(194)	0	**(194)**	119	(2,548)	**(2,429)**
Adjusted Operating Earnings	**$78,603**	**$4,537**	**$83,140**	**$71,457**	**$19,949**	**$91,406**

Adjusted Earnings per Share

The following table reconciles adjusted earnings per share to basic earnings per share as reported under Canadian GAAP in the unaudited interim period consolidated statements of earnings for the three- and nine-month periods ended as indicated below. Management believes this is the most appropriate basis on which to evaluate financial results as restructuring and other related costs are not representative of operational results.

($ per share)	Three months ended September 30,		Nine months ended September 30,	
	2010	2009	2010	2009
Basic Earnings per Share	$ 0.55	$ 0.99	$ 1.86	$ 2.46
Restructuring and other related costs[(i)]	0.30	0.02	0.38	0.04
Adjusted Earnings per Share[(ii)]	**$ 0.85**	**$ 1.00**	**$ 2.24**	**$ 2.50**

(i) *Includes per share impact of restructuring and other related costs, net of tax.*
(ii)*Does not add due to rounding.*

Consolidated Interim Financial Statements
(Expressed in Canadian dollars)

CANADA BREAD COMPANY, LIMITED

Nine months ended September 30, 2010 and 2009

CANADA BREAD COMPANY, LIMITED

Consolidated Balance Sheets
(In thousands of Canadian dollars)

	As at September 30, 2010	As at September 30, 2009	As at December 31, 2009
	(Unaudited)	*(Unaudited)*	
ASSETS			
Current assets			
Cash and cash equivalents	**$ 106,961**	$ 24,549	$ 57,698
Accounts receivable	**63,840**	70,879	63,620
Due from Maple Leaf Foods Inc.	**1,361**	-	**-**
Inventories	**56,046**	58,266	56,659
Future tax asset	**4,259**	4,878	1,640
Prepaid expenses and other assets	**7,539**	7,065	4,438
	$ 240,006	$ 165,637	$ 184,055
Property and equipment	**391,486**	392,695	387,252
Goodwill	**380,845**	392,456	386,807
Other intangible assets	**15,125**	18,775	16,678
Other long-term assets	**11,522**	10,616	11,620
	$ 1,038,984	$ 980,179	$ 986,412
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities			
Bank indebtedness	**$ 8,070**	$ 4,357	$ 4,247
Accounts payable and accrued charges	**196,490**	169,361	172,172
Due to Maple Leaf Foods Inc.	**-**	4,971	3,817
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**13,049**	13,610	13,155
	$ 219,134	$ 193,824	$ 194,916
Long-term debt	**3,117**	-	2,547
Future tax liability	**29,856**	34,079	33,338
Other long-term liabilities	**8,271**	8,639	8,524
Shareholders' equity	**778,606**	743,637	747,087
	$ 1,038,984	$ 980,179	$ 986,412

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Three months ended September 30, **2010**	2009	Nine months ended September 30, **2010**	2009
Sales	**$ 411,364**	$ 424,555	**$ 1,195,358**	$ 1,273,598
Cost of goods sold	**324,476**	335,413	**948,327**	1,023,257
Gross margin	**$ 86,888**	$ 89,142	**$ 247,031**	$ 250,341
Selling, general and administrative expenses	**54,459**	52,227	**163,891**	158,935
Earnings from operations before the following:	**$ 32,429**	$ 36,915	**$ 83,140**	$ 91,406
Restructuring and other related costs	**(10,512)**	(597)	**(13,021)**	(1,271)
Other income (expense)	**67**	(113)	**194**	2,429
Earnings before interest and income taxes	**$ 21,984**	$ 36,205	**$ 70,313**	$ 92,564
Interest expense	**949**	673	**2,837**	3,980
Earnings before income taxes	**$ 21,035**	$ 35,532	**$ 67,476**	$ 88,584
Income taxes	**7,055**	10,482	**20,082**	26,115
Net earnings	**$ 13,980**	$ 25,050	**$ 47,394**	$ 62,469
Earnings per share – basic and diluted	**$ 0.55**	$ 0.99	**$ 1.86**	$ 2.46
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	25.4

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Comprehensive Income
(In thousands of Canadian dollars)

(Unaudited)	Three months ended September 30, **2010**	2009	Nine months ended September 30, **2010**	2009
Net earnings	**$ 13,980**	$ 25,050	**$ 47,394**	$ 62,469
Other comprehensive loss	**(6,798)**	(23,530)	**(11,300)**	(22,610)
Comprehensive income	**$ 7,182**	$ 1,520	**$ 36,094**	$ 39,859

Consolidated Statements of Retained Earnings
(In thousands of Canadian dollars, except share amounts)

(Unaudited)	Nine months ended September 30, **2010**	2009
Retained earnings, beginning of period	**$ 658,541**	$ 587,163
Net earnings	**47,394**	62,469
Dividends declared ($0.18 per share; 2009: $0.18 per share)	**(4,575)**	(4,575)
Retained earnings, end of period	**$ 701,360**	$ 645,057

CANADA BREAD COMPANY, LIMITED

Consolidated Statements of Cash Flows
(In thousands of Canadian dollars)

(Unaudited)	Three months ended September 30, **2010**	2009	Nine months ended September 30, **2010**	2009
CASH PROVIDED BY (USED IN):				
Operating activities				
Net earnings	**$ 13,980**	$ 25,050	**$ 47,394**	$ 62,469
Add (deduct) items not affecting cash:				
Depreciation and amortization	**13,089**	13,551	**38,160**	41,706
Future income taxes	**(4,490)**	(1,303)	**(6,423)**	(2,099)
Loss (gain) on sale of property and equipment	**(62)**	131	**(109)**	461
Amortization of terminated interest rate swap	**659**	672	**1,976**	1,317
Change in provision for restructuring and other related costs	**9,746**	367	**10,093**	(607)
Other	**(244)**	(562)	**(170)**	(2,593)
Change in non-cash operating working capital	**11,869**	(6,722)	**5,668**	(34,810)
Cash provided by operating activities	**$ 44,547**	$ 31,184	**$ 96,589**	$ 65,844
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(4,575)**	(4,575)
Net increase (decrease) in long-term debt	**697**	(15,038)	**570**	(4,518)
Settlement of interest rate swaps with Maple Leaf Foods Inc.	**-**	-	**-**	(8,502)
Cash used in financing activities	**$ (828)**	$ (16,563)	**$ (4,005)**	$ (17,595)
Investing activities				
Additions to property and equipment	**(25,778)**	(6,081)	**(47,888)**	(30,447)
Proceeds from sale of property and equipment	**55**	46	**740**	515
Other	**91**	(7)	**4**	(952)
Cash used in investing activities	**$ (25,632)**	$ (6,042)	**$ (47,144)**	$ (30,884)
Increase in cash and cash equivalents	**$ 18,087**	$ 8,579	**$ 45,440**	$ 17,365
Net cash and cash equivalents, beginning of period	**80,804**	11,613	**53,451**	2,827
Net cash and cash equivalents, end of period	**$ 98,891**	$ 20,192	**$ 98,891**	$ 20,192
Net cash and cash equivalents is comprised of:				
Cash and cash equivalents	**$ 106,961**	$ 24,549	**$ 106,961**	$ 24,549
Bank indebtedness	**(8,070)**	(4,357)	**(8,070)**	(4,357)
Net cash and cash equivalents, end of period	**$ 98,891**	$ 20,192	**$ 98,891**	$ 20,192

CANADA BREAD COMPANY, LIMITED

Segmented Financial Information
(In thousands of Canadian dollars)

(Unaudited)	Three months ended September 30, **2010**	Three months ended September 30, 2009	Nine months ended September 30, **2010**	Nine months ended September 30, 2009
Sales				
Fresh Bakery	**$ 285,232**	$ 287,285	**$ 824,951**	$ 840,546
Frozen Bakery	**126,132**	137,270	**370,407**	433,052
	$ 411,364	$ 424,555	**$ 1,195,358**	$ 1,273,598
Earnings from operations before restructuring and other related costs and other income (expense)				
Fresh Bakery	**$ 30,397**	$ 33,260	**$ 78,603**	$ 71,457
Frozen Bakery	**2,032**	3,655	**4,537**	19,949
	$ 32,429	$ 36,915	**$ 83,140**	$ 91,406
Additions to property and equipment				
Fresh Bakery	**$ 19,819**	$ 4,246	**$ 33,309**	$ 15,677
Frozen Bakery	**5,959**	1,835	**14,579**	14,770
	$ 25,778	$ 6,081	**$ 47,888**	$ 30,447
Depreciation and amortization				
Fresh Bakery	**$ 7,309**	$ 6,757	**$ 20,574**	$ 20,816
Frozen Bakery	**5,780**	6,794	**17,586**	20,890
	$ 13,089	$ 13,551	**$ 38,160**	$ 41,706

	As at September 30, 2010	As at September 30, 2009	As at December 31, 2009
	(Unaudited)	(Unaudited)	
Total assets			
Fresh Bakery	**$ 460,994**	$ 447,100	$ 441,020
Frozen Bakery	**449,114**	493,270	476,681
Non-allocated assets	**128,876**	39,809	68,711
	$ 1,038,984	$ 980,179	$ 986,412
Goodwill			
Fresh Bakery	**$ 157,146**	$ 155,949	$ 155,946
Frozen Bakery	**223,699**	236,507	230,861
	$ 380,845	$ 392,456	$ 386,807